Tata Steel

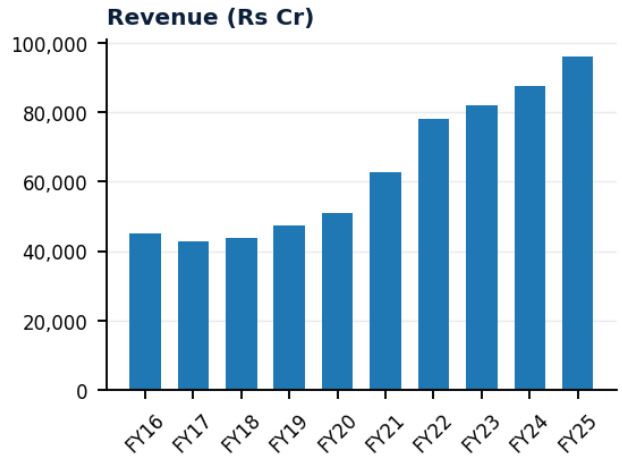
Sector: Metals & Mining

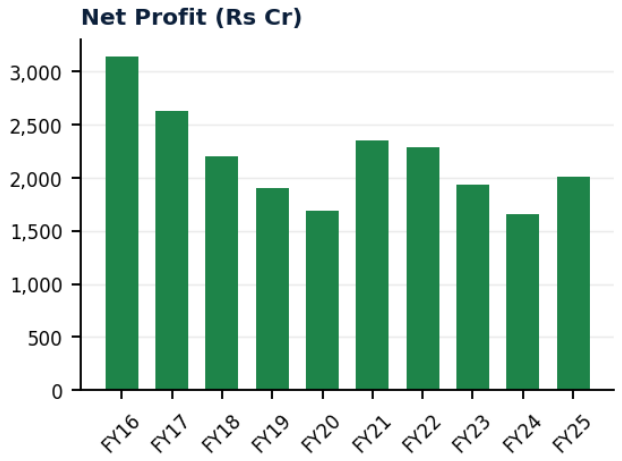
TATASTEEL

Key performance indicators (FY2025)

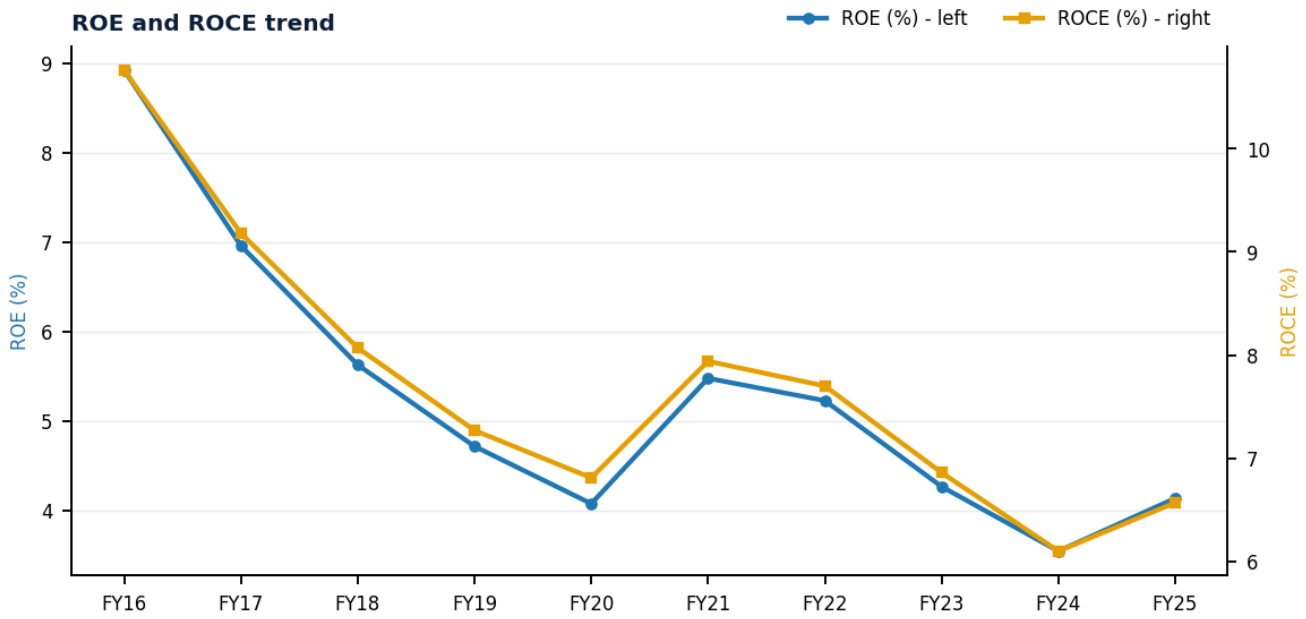
Revenue (Rs Cr) **96,171**	Net Profit (Rs Cr) **2,009**	Operating Margin (%) **6.5%**
ROE (%) **4.1%**	ROCE (%) **6.6%**	Debt / Equity (x) **0.43x**

10-year Revenue and Net Profit

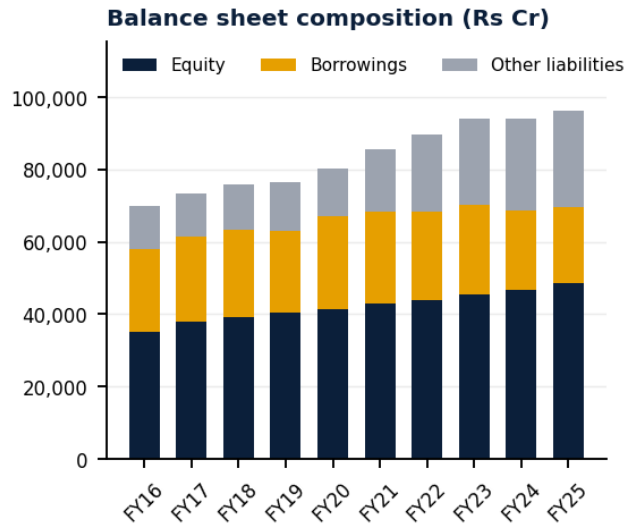


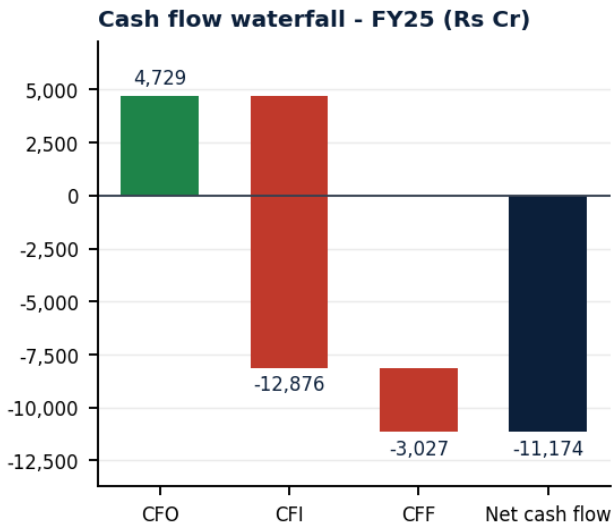


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Growing asset base funded by internal accruals reflects self-sustaining growth (73%)

Cons - what to watch

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (74%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (68%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (2.09)	**Capital Intensive (13.4%)**	**No**	**Yes - repaying debt**